mgt602 MID Fall 2009 Solved by vuZs Team

MIDTERM EXAMINATION
Fall 2009
MGT602- Entrepreneurship
Solved by vuZs Team
Princess Sassi
http://groups.google.com/group/vuZs

Question No: 1 (Marks: 1) - Please choose one
Being one's own boss is a need of:

► **Independence**
► Achievement
► Affiliation
► Authority

Question No: 2 (Marks: 1) - Please choose one
With a commercial history of only 300 years, which country was a new comer to the international arena?

► Japan
► U.S
► **China**
► U.K

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a obstacle to going in international business?

► Mergers
► **Trade barriers**
► Rivalry
► Protectionist attitudes

Reference & Explanation: Page #30 Lesson #13
BERRIERS TO INTERNATIONAL TRADE: The positive attitude toword free trade began about 1947 with the development of general trade agreement and reduction of trade barriers. Some details are as fallow

1) General Agreement on tariffs and trade(GATT)
2) Increasing Protectionist Attitudes
3) Trade Blocs and Free Trade Areas

Read handout for more details

Question No: 4 (Marks: 1) - Please choose one
Which one of the following is an important source of idea generation due to their familiarity with the needs of market?

► Existing products and services
► **Distribution channels**
► Federal government
► Consumers
Reference & Explanation:
Sources Of New Idea: Members of distribution channels are also excellent sources for new idea because they are familiar with the needs of the market. Not only do channel members frequently have suggestions for new product, but they can also help in marketing the entrepreneur's newly developed products.
For more detail consult with handout Page # 34 Lesson # 15
Question No: 5 (Marks: 1) - Please choose one
Which of the followings is NOT followed in brainstorming?

► **Criticism is done by the group members**
► The wilder idea is better
► Quantity of ideas is required
► The session should be fun, with no on dominating the discussion

Reference & Explanation: Brainstorming:- A group method of obtaining new ideas and solutions is called brainstorming. The brainstorming method for generating new idea is based on the fact that people can be stimulated to greater creativity by meeting with others and participating with organized group experiences. \
For more detail consult with handout Page#35 Lesson#16
Question No: 6 (Marks: 1) - Please choose one
A/an _____ is an online connection between the company and its customers.

► Internet advertising
► **Website**
► E-Commerce
► World Wide Web
Reference & Explanation: Page # 38 Lesson # 17
WEBSITE:- a website is online connection between the company and its customers and can be developed in house outsourced.

Question No: 7 (Marks: 1) - Please choose one
Which one of the following is the next stage to the Concept Stage of Product Planning and Development Process?

► Idea Stage
► Product Planning Stage
► **Product Development Stage**

► Test Marketing Stage

Reference & Explanation: Page # 37 Lesson # 17

PRODUCT Development Stage: In this stage the refined idea is tested to determine consumer acceptance without manufacturing it.

Question No: 8 (Marks: 1) - Please choose one

All of the following are essentials to maintain secrecy, EXCEPT:

► Train employees to refer sensitive questions to one person
► **Discuss business in public places**
► Provide escorts for all office visitors
► Use simple security such as locked file cabinets

Reference & Explanation:

Question No: 9 (Marks: 1) - Please choose one

Licensing is a significant marketing strategy to:

► **Use intellectual property of others**
► Pirate others' patents
► Grow the business in new markets
► Control the costs

Reference & Explanation

Licensing Allowing someone else to use something of the company's. It is a arrangement between two patent, trademark, or copyright. This requires the licensing to pay a royalty to the holder of the proprietary rights in return for permission to copy the patent. Licensing has a significant value as a marketing strategy to holders of patents.

For more detail consult with handout Page#44 lesson#19

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is the main problem for the entrepreneur in the beginning stages of creating a new venture?

► Lack of experience
► **Limited resources**
► Lack of education
► None of the given options

Reference & Explanation

Question No: 11 (Marks: 1) - Please choose one

How many perspectives should be considered while preparing business plan?

► One
► **Three**
► Four
► Not specific

Question No: 12 (Marks: 1) - Please choose one

SBA stands for:

► Small business accountants
► Small business administration
► Small business adequacy
► **Small business advisors**

Question No: 13 (Marks: 1) - Please choose one
Which one of the following is NOT an environmental factor?

► Economy
► Culture
► Technology
► **Competition**

Question No: 14 (Marks: 1) - Please choose one
Which one of the following guide the firm through the long term decision making?

► **Mission statement**
► Product forecast
► Industry analysis
► None of the given options

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is NOT included in four C's evaluation by lender?

► Character
► Cost
► **Continuity**
► Contribution

Reference & Explanation: page #47 Lesson #21 Lenders are primarily interested in the ability of the new venture to pay the debt and focus on the four C's pf credit:

1. It Entrepreneur's credit history or **character.**
2. Their ability to meet debt and interest payment**(cash flow)**
3. The **collateral** or tangible assets being secured.
4. Equity **contribution** or the amount of personal equity that has been invested by the entrepreneur.

Question No: 16 (Marks: 1) - Please choose one
For which of the following copy right acquisition is desirable?

► Songs
► Poems
► Models
► **All of the given options**

Reference & Explanation: page # 43 lesson # 19

A copyright protects original works of authorship. The protection does not protect the idea itself. It allows someone else to use the idea in a different manner.

Question No: 17 (Marks: 1) - Please choose one

A utility patent has a term of:

► 10 years
► 40 years
► **20 years**
► 80 years

Reference & Explanation:- page # 40 lesson #18
TYPE OF PATENTS A Utility patents has a term of 17 years, beginning on the date the Patent and Trademark Office (PTO) issues it. NAFTA (North American Free Trade Agreement) establishes a minimum period of 20 years form the date of filing or 17 years for the date of the grant.

Question No: 18 (Marks: 1) - Please choose one

Which of the following body issues patents?

► GATT
► NAFTA
► FTA
► **PTO**

Reference & Explanation:- page # 40 lesson #18
TYPE OF PATENTS A Utility patents has a term of 17 years, beginning on the date the Patent and Trademark Office (PTO) issues it.

Question No: 19 (Marks: 1) - Please choose one

Which of the following is a idea generation method that focuses on parameters?

► Brainstorming
► Reverse brainstorming
► **Creative problem solving**
► Synectics

Reference & Explanation : page #35 lesson number 16
Creative problem solving is a method for obtaining new idea on the parameters.

Question No: 20 (Marks: 1) - Please choose one

Developing a new idea through inquiry and testing is called:

► Heuristics
► Forced relationship
► **Scientific method**
► Value analysis

Reference & Explanation: page #36 lesser #16

This is a more structured method of problem solving, including principles and rules for concept formation, making observations and experiments and finally validating the hypothesis.

Question No: 21 (Marks: 1) - Please choose one
Which one of the following is NOT included in four C's evaluation by lender?
► Character
► Cost
► **Continuity**
► Contribution
Question No: 22 (Marks: 1) - Please choose one
Which of the following is a characteristic of a good partner?
► Help to achieve goals
► Share entrepreneur's vision
► Do not exploit the partnership
► **All of the given options**
Question No: 23 (Marks: 1) - Please choose one
Having more than 50% ownership position that provides the entrepreneur with managerial control is called:

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► Joint venture
► **Majority interest**
► Horizontal merger
► Diversified activity merger
Reference & Explanation: Page #28 Lesson #12
Majority interest:- The majority interest allows the entrepreneur to obtain managerial control while maintaining the company's local identity. In technical sences anything over 50% of the equity of the firm is majority interest.
Question No: 24 (Marks: 1) - Please choose one
Which one of the following is a sound strategic option for an entrepreneur when synergy is present?
► Merger
► **Joint venture**
► Minority interest
► Majority interest
Reference & Explanation: Page #28 Lesson #12 Two firms get together and form a third company in which they share the equity. Joint ventures have been used by entrepreneurs in two situations.

1. When the entrepreneurs in two purchase local knowledge and an established facility.
2. When rapid entry into a market it needed

Question No: 25 (Marks: 1) - Please choose one
Which of the following is a method of selling goods to another country by taking care of transactions?
► Indirect exporting
► **Direct exporting**
► Importing

► Management contract

Reference & Explanation: page #26 lesson#11

Direct exporting: through independent or through one's own overseas sales office is anther entry method. An independent foreign distributor directly contacts foreign customers and takes care of all technicalities.

Question No: 26 (Marks: 1) - Please choose one

Following are the types of non-equity arrangements EXCEPT:

► Licensing

► Management contracts

► **Direct export**

► Turnkey projects

Reference & Explanation: Page#26 lesson # ll

NON Equity Arrangements:- Non equity arrangements allow the entrepreneur to enter a market without direct equity investment in the foreign market.

Licensing:- involves a manufacturer giving a foreign manufacturer the right to use a patent, trademark, or technology in return for a royalty.

Turn-key Projects:- lesser developed countries are able to obtain manufacturing technology without surrendering economic control through turn key project.

Management contracts:- Entrepreneur can contract their management techniques and skills, often following a turn key project.

Question No: 27 (Marks: 1) - Please choose one

Andrew Carnegie is an example of entrepreneur of which century:

► Earliest period

► **19th and 20th century**

► Middle ages

► 17th century

Reference & Explanation: Page #2 lesson #1

Andrew Carnegie is one of the best examples of this definition, building the American steel industry on of the wonders of industrial world, primarily through his competitiveness rather than creativity.

Question No: 28 (Marks: 1) - Please choose one

A person who managed large project was termed as the entrepreneur in the _____.

► Earliest period

► **Middle ages**

► 17th century

► 19th and 20th century

Reference & Explanation: page #1 lesson #1

Middle Ages:- In this age term entrepreneur was used to describe both an actor and a person who managed large production projects.

Question No: 29 (Marks: 1) - Please choose one

In some countries, point of purchase displays are not allowed in retail stores. Such differences are studied by international entrepreneurs under _____.

► Economic Environment

► Political Environment

► **Cultural Environment**
► Technological Environment
Reference & Explanation: page#25 Lesson #11
Cultural Environment:- The impact of culture on entrepreneurs and strategies is significant. Understanding the local culture is necessary when developing worldwide plans.
Question No: 30 (Marks: 1) - Please choose one
Which of the following factor is most important in forming a new business?
► Finance
► Marketing
► **Government support**
► Family support
Reference & Explanation: page #4 lesson #2 last lines
The government also contributes by providing the infrastructure to help a new venture. Then marketing and last 1 is financing
Question No: 31 (Marks: 1) - Please choose one
Most of the finance for the new firm comes from following resources EXCEPT:
► Friends
► **Foreign aid**
► Relatives
► Personal savings
Question No: 32 (Marks: 1) - Please choose one
Which one of the following is the process of entrepreneurs developing new products that over time make current products obsolete?
► New business model
► Anatomization
► **Creative destruction**
► None of the given options
Question No: 33 (Marks: 1) - Please choose one
The intersection of knowledge and a recognized social need to start a product development process is called which of the following?
► **Iterative synthesis**
► Product-evolution process
► Ordinary innovation
► Situation analysis
Question No: 34 (Marks: 1) - Please choose one
A foundation company is formed through which of the following?
► Fashion
► Most popular business
► A winding up company
► **Research and development**
Reference & Explanation: page #6 lesson#3
Foundation Companies :- A type of company from research and development that usually does not go public. This firm can grow in five to ten years from 40 to 400 employees.
Question No: 35 (Marks: 1) - Please choose one

Which of the following factors is the most important in forcing U.S companies to focus on new product development and increased productivity?

► **Entrepreneurship**
► Hyper competition
► Governmental laws
► Organizational culture

Question No: 36 (Marks: 1) - Please choose one

Which of the following is required for a company that wants to be more flexible in adopting changes?

► **Management commitment**
► Contact with customers
► Technology
► More productivity

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Question No: 37 (Marks: 1) - Please choose one

Which of the following areas are preferred by women entrepreneurs?

► **Administration**
► Utilities
► Manufacturing
► None of the above

Reference & Explanation: page #23 lesson #10

' **Occupations:-** both groups tend to have experience in the field of their ventures. Men more often have experience in manufacturing, finance, or technical areas. Most women usually have administrative experience, often in serice-related fields.

Question No: 38 (Marks: 1) - Please choose one

Individuals influencing an entrepreneur's career choice and style are known as which of the following?

► **Role model**
► Moral-support network
► Professional support network
► Support system

Reference & Explanation: Page# 22 lesson#10

ROLE MODEL AND SUPPORT SYSTEMS:- One of the most important factors influencing entrepreneurs in their career choice in role model. Role models can be parents, relatives or successful entrepreneurs in the community.

Question No: 39 (Marks: 1) - Please choose one

An entrepreneur is also successful in international business as well if he understands:

► **Difference of domestic and international business**
► Domestic business
► International business
► None of the given options

Reference & Explanation: page #25 lesson #11

International business has become increasingly important to firms all sizes. The successful entrepreneur will be someone who understands how international business differs from domestic business and is able to act accordingly.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is NOT an important aspect of international success?

► Planning

► **Diversification**

► Reporting

► Control

Reference & Explanation: page#26 lesson #11

Decentralization is scaled back and major strategic decisions are again centralized. To understand what is required for effective planning, reporting and control the entrepreneur should consider.